

Module 4: Organizational Culture

Total Time: 08 Hours

1. Meaning & Definition of Organizational Culture

Organizational culture is the collective behavior of people within an organization and the meanings behind their actions. It includes the organization's vision, norms, systems, symbols, language, assumptions, beliefs, and habits.

Textbook Definitions:

- **Edgar Schein:** "Culture is a pattern of shared basic assumptions that a group learns as it solves problems of external adaptation and internal integration."
- **Deal and Kennedy:** "The way things are done around here."
- **Hofstede:** "The collective programming of the mind which distinguishes the members of one organization from another."

Why It Matters:

- Shapes employee behavior and decision-making
- Influences organizational effectiveness and innovation
- Builds brand identity and employee loyalty

2. Creation & Sustaining of Organizational Culture

A. Creation Process:

1. **Founders' Philosophy:** Founders act as cultural architects (e.g., Narayana Murthy for Infosys).
2. **Initial Organizational Structure:** Flat vs. hierarchical, influences interaction.
3. **Attract-Select-Attrition Model (ASA) – Benjamin Schneider:**
 - **Attract:** People attracted to organizations where they fit.
 - **Select:** Organization selects people with values it desires.
 - **Attrition:** People who don't fit will leave.

B. Sustaining Culture:

- **Socialization:** Teaching the cultural norms to newcomers via orientation, mentorship, storytelling.
- **Leadership:** Leaders must model the culture (e.g., Satya Nadella encouraging collaboration at Microsoft).
- **Reward Systems:** Reinforcing behaviors that reflect cultural values.
- **Symbols and Language:** Shared lingo and traditions (e.g., Google's TGIF meetings).

3. Types of Organizational Culture

A. Strong vs. Weak Culture

- **Strong Culture:** Core values intensely held and widely shared.
Example: Southwest Airlines values customer service; everyone is empowered to act.
- **Weak Culture:** Values not clearly defined or enforced. Employees are disengaged.

Basis	Strong Culture	Weak Culture
Values	Deeply held	Vaguely defined
Behavior	Predictable	Inconsistent
Example	Google	A struggling startup

B. Soft vs. Hard Culture

- **Soft Culture:** Emotionally intelligent, collaborative, focused on people.
- **Hard Culture:** Strict rules, process-driven, results over people.

Feature	Soft Culture	Hard Culture
Focus	People-centered	Goal/task-centered
Communication	Open and empathetic	Formal and top-down
Example	NGOs, creative firms	Military, finance sector

C. Formal vs. Informal Culture

- **Formal:** Defined hierarchy, rules, procedures.
- **Informal:** Flexible, casual, driven by relationships and trust.

Example of formal: Government offices

Example of informal: Startups or creative teams at Pixar

4. Creating a Positive Organizational Culture

A positive culture creates employee engagement, high performance, and innovation.

Elements of Positive Culture:

- **Clarity in Vision & Mission**
- **Empowerment & Trust**
- **Recognition & Reward**
- **Work-Life Balance**
- **Inclusive Practices**

Case Study: Google

- Open communication: 20% time policy for innovation.

- Relaxed atmosphere: bean bags, cafeterias, on-site services.
- Peer recognition: gThanks platform.

5. Concept of Workplace Spirituality

Workplace spirituality doesn't mean religion—it means creating meaningful work that aligns with employees' inner values.

Core Dimensions:

1. **Meaningful Work** – Employees feel purpose.
2. **Community at Work** – Feeling of connectedness.
3. **Alignment with Organizational Values** – Ethical practices, integrity.
4. **Inner Life Integration** – Opportunity for reflection and mindfulness.

Benefits:

- Higher job satisfaction
- Ethical decision-making
- Lower turnover and stress

Example: Zappos

- Focuses on happiness, not just profits
- “Holacracy” system—no managers, full freedom

Additional Content:

Cameron & Quinn's Competing Values Framework

- **Clan Culture:** Collaboration, teamwork (e.g., Google)
- **Adhocracy Culture:** Innovation, risk-taking (e.g., Apple)
- **Market Culture:** Competitive, goal-driven (e.g., Amazon)
- **Hierarchy Culture:** Structured, rule-based (e.g., IBM)

Conclusion:

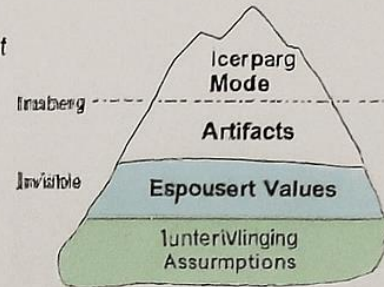
Organizational Culture is not just a “soft” concept—it determines business success, innovation, employee engagement, and even how crises are handled.

Definition & Definition of Organizational Culture

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Organizational Culture Cycle

Why It Matters:

- Shapes employee behavior and decision making
- Influences organizational effectiveness and innovation
- Builds brand identity and employee loyalty

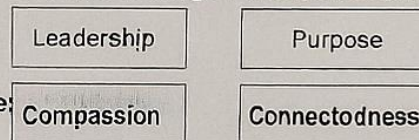
2 Creation & Sustaining of Organizational Culture

A Creation Process:

	Strong	Weak Culture
Artifacts Example	Emotionally	Inconsistent
Focus	Espoused	Formal and
Example	Google	A struggling startup.

Strong vs Weak	Weak Culture
Values	Vaguely defined
Example	Google
A successful algr.	A struggling startup

Benefits: Building of Workplace Spirituality



3 Creation & Sustaining of Organizational Culture:

A Creation Process:

Founders Philosophy:

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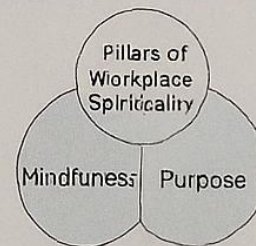
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Pillars of Workplace Spirituality

5. Creating & Positive Organizational Culture

A positive culture creates employee engagement, high meaningful work with values.

Elements of Positive Culture:

Clarity in Vision & Mission

Community at Work

Alignment with Organizational Value

Inner Life Integration

Example: Google

Open communication and prior for innovation

Relaxed atmosphere, flat page, co-workers.

Inner Life Integration. Fixar

Additional Content You May Teach	
Cameron & Quinn's Competing Values Framework.	Athorrey. Reducing stress. Google
Market Culture (e.g. Amazon)	Capgemini (highly structured hierarchy)

5. Concept of Workplace Spirituality

Benefits:

Higher job satisfaction

Ethical

Lower turnover and stress

Google

Consensus system

No managers'

Benefits:

Higher job satisfaction

Ethical decision making

Lower turnover and stress.

Example:

Zappos

Holocracy system

Additional Content You May Teach:

Cameron & Quinn's Competing Values Framework, Clan, Driven collaboration, Telling Framework

